(iii) Issuing instructions to employees for implementation of policy to review company's progress.

(iv) Appointing their subordinates like Managing director, Manager, Secretary and other employees.

(v) Acting in accordance with the Articles of the company

(vi) Act in Good faith in order to promote the objects of the company

(vii) Perform duties with due and reasonable care and diligence.

Specific Duties of Directors

(i) Duty to disclose his name, address and occupation

(ii) Duty to disclose his shareholding and interest in Contracts of the company.

(iii) Duty to hold minimum qualification shares within two months after his appointment.

(iv) Duty to issue prospectus and fix the minimum subscription.

(v) Duty to take care that prospectus should not contain any false or misleading statement.

(vi) Duty to confirm the required disclosure in the prospectus as required by the Act.

(vii) Duty to sign in the prospectus before submitting it to the Registrar of Companies

(viii) Duty to deposit application money in a scheduled Bank and its utilisation in accordance with the specification given in the Act.

(ix) Duty to file Return of Allotment of Securities with the Registrar.

(x) Duty to arrange for making payment of Dividend declared.

(xi) Duty to forfeit and transfer shares.

(xii) Duty to file all the reports and resolutions as required by the Act with the Registrar of Companies.

(xiii) Duty to carry out all other activities as specified in the Act in time.

(xiv) Duty to call on an Extraordinary General Body Meeting, if necessary.

(xv) Duty to call statutory and annual general meeting of the company

27.15 Liabilities of director

The liabilities of directors may be discussed under three heads:

1. Liability to outsiders:

The directors are not personally liable to outsiders if they act within the scope of powers vested in them. The general rule in this regard in that wherever an agent is liable, those directors would be liable, but where the liability would attach to the principal only, the liability is the liability of the company. The directors are personally liable to third parties of contracts in the following cases:

a. They contract with outsiders in their personal capacity

b. They contract as agents of an undisclosed principal

c. They enter into a contract on behalf of a prospective company.

d. When the contract is ultra-vires the company.

In default of statutory duties, the directors shall be personally liable to third parties in the following cases:

1. Mis-statement in prospectus.
2. Irregular allotment.
3. Failure to repay application money if the minimum subscription is not received.
4. Failure to repay application money if allotment of shares and debentures is not dealt in on the stock exchange as specified in the prospectus.

2. Liability to company

The directors shall be liable to the company for in the following cases:

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